

\$50,000 a year. Two polls reveal that 50% of investors who bought their mutual funds through banks think the funds are federally insured, which they are not. Another 50% think they paid no sales charge, or load, which in fact most banks charge. A late 1993 survey of 1000 households by the Securities and Exchange Commission finds that fully half of the respondents own mutual funds, and among those who have bought mutual funds through a stock broker, 39% believe that their fund is federally insured against loss. 19% answered, "I don't know," so only 42% knew that simple fact. In 1992, banks ran 213 mutual funds with \$35 billion in assets; today they preside over 2,085 funds with \$312.8 billion in assets, a tenfold increase in two years and not a dime of the money federally insured. For an excellent profile of today's naive stock market investor, read "The New Investors" in the August 30, 1993 *Barron's*. Here is an excerpt: "...Neither she nor her friends worry about a possible market correction. 'That's the first I've heard of the idea,' she says a little coldly. 'Everyone here feels that Fidelity is perfectly safe.' She doesn't ask for more information."

Speculative environments come along at most only once in a generation, as a horde of new, inexperienced players is then available to descend upon the stock market scene. Members of the general public are always latecomers to the market's party, and because of the powerful emotional forces involved in manias, tend to check their skepticism and rationality at the door. This has certainly been the case in the past four years. Because bankers, brokers and high-profile fund managers in recent years have been telling people that investing in stock market mutual funds is (over the "long term") better than *saving*, they have simply taken the promise literally. As a result, average investors profiled in *The New York Times* explain that they have extended their mortgages as far out as possible so that they can put the monthly payment difference into a stock mutual fund, under the assumption that a perpetual 12% return will pay for future college costs. Television programs interview young parents who are moving their kids' savings account money into stock market mutual funds so they will learn about the market. (And learn they will.) Magazine articles instruct parents how to teach *kids* to buy stock in *socially acceptable* companies, as if profits are child's play and as if one may simply choose, based upon personal whim, what type of vehicle he wishes to produce his annual investment gain. The generation of the profits themselves is simply taken for granted, and the choice is presented as if it is little more than choosing among 31 ice cream flavors. "Would you like to receive your